

distinct categories: risky and risk-free. We were interested to see how these allocations varied by age as well as the types of guarantees (riders) selected. The kinds of questions we were interested in were: Do older policyholders allocate less wealth to riskier asset classes? Do younger policyholders embrace riskier asset classes? How does this change when various insurance riders and guarantees are elected? Figure 10.5 provides a graphical illustration of the main results for just one of the insurance companies we analyzed.

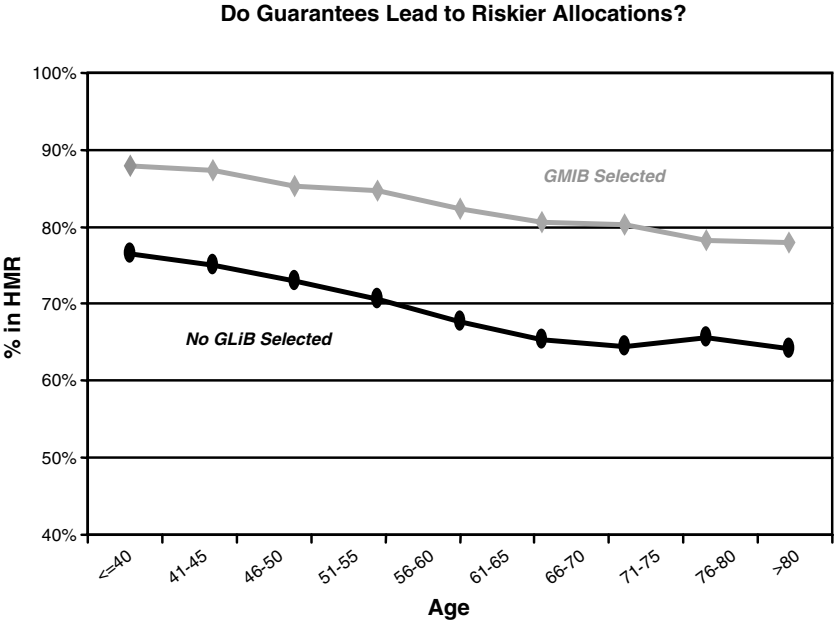


Figure 10.5 I’m going to shoot for the stars.

Source: Moshe Milevsky and the IFID Centre, 2008.

The X axis displays the age of the policyholder when she opened or purchased the variable annuity. Our data goes from under age 40 on the left side, up to age 80 and beyond on the right side. On the Y axis we plotted the average amount that was allocated to the High and Medium Risk (HMR) categories, which included equity-based funds as well as real estate and international investments.

As you can see, the older investors tend to allocate a smaller amount to risky subaccounts within their variable annuities. This is